Summing up

India is a continent, with very high heterogeneity. There is no one answer to policy questions, on most problems. The fact that many Union Territories—run by the Union government—work better than many states should not lead us to question decentralization. Decentralization of government helps produce local answers to local problems. The ‘subsidiarity principle’ asserts that a function of government is best performed by the lowest possible level of government where it can be performed.

The Constitution of India is imbued with federalism. The evolution of the republic shows an inappropriate extent of centralization, of schemes that are designed by the Union government and rolled out everywhere. The phrase ‘Union government’ is preferable to ‘Central government’ as the latter suggests greater control. Similarly, there is an inappropriate level of control of cities and villages by the capital of the state government. The appropriate role of the Union government lies in coordination problems (e.g., the design of infrastructure networks that cut across states) and in addressing poverty traps where the conventional feedback loops of liberal democracy have broken down.

In a truly federal structure, state and local governments will have to design their own schemes. This requires capacity building in public policy at states and cities all over India.

For decentralization to work, the political system at the level of the state and the city requires reform, in order to achieve adequate checks and balances and dispersion of power.